

DISCUSSION OF “Invest Like for Your Kids: Performance and Implications of Children’s Investment Accounts on Portfolios in Adulthood” - Denis Davydov & Jarkko Peltomäki

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How Do Children's Investment Account Returns Compare To Adults' Portfolio Returns?

Data from Swedish online bank (Avanza)

- 783,000 investors, 26,500 (~3%) children's investment accounts
- Annual data 2015 to 2018
- Portfolio risk & returns, demographics, account logins, trades, tenure

Key Findings

- Children's (vs. adults') accounts have  returns (absolute, risk-adjusted)
- Within children's accounts, no difference by gender until...
- ...Age 15 - 17, boys (vs. girls) have  returns ( logins)



#1: Selection

What could explain differences in returns on adult vs. children accounts?

- Lots of things! Sophistication, wealth, risk & time preferences, etc.
...Also, (Swedish) children don't need to worry about income risk!

I expect large **selection** into which consumers open children's investment accounts

- Parents vs. non-parents
- Wealthier, more financially sophisticated, more stable parents

Better data is the solution

- Compare children's accounts ***to those of their parents***
- Why? Enables including parent fixed effects to capture parents' own preferences

#2: Suggestions To Improve The Paper

Returns may differ due to differential sample attrition

- Examine account closures as an outcome
- Subset data to balanced panel of accounts observed 2015 to 2018

Suggest focus paper on gender differences emerging at ages 15 to 17

- More granular age (13-17 is too coarse. Pool <10 as baseline, 11, 12, ..., 17)
- Are boys' accounts not only logging in more, but trading more?
- Is the difference due to teenage boys or due to parents with teenage boys?
 - Is the child or the parent logging in / taking actions?
 - Can children change their portfolios before age of 18, or does it need parental consent?

*“We're maturing, without knowing... these are the things that change boys to men”
(New Edition – Boys To Men)*

#3: Policy Implications

Should governments incentivize children's investment accounts? How to design?

- Globally-important & topical questions
- Trump Accounts US, Junior Investment & Savings Accounts GB, Starting Capital DE

At what age should children be allowed to **change portfolios** or **make withdrawals**?

- Any age, 10, 16, 18, 21?

Which assets should children be allowed to invest in?

- Options? Crypto?

Aim to build long-run wealth? OR Learning tool to build financial experience?

Thank You!

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